

Should the market value of the common stock be compared with the *par* value or the *market* value of the preferred? In the majority of cases it will not make any vital difference which figure is used. There are, however, an increasing number of no-par-value preferreds (and also a number like Island Creek Coal Company Preferred and Remington Rand, Inc., Second Preferred in which the real par is entirely different from the stated par).⁵ In these cases an equivalent would have to be constructed from the dividend rate. Because of such instances and also those where the market price tends to differ materially from the par value (e.g., Norfolk and Western Railway Company 4% Preferred in 1932 or Eastman Kodak 6% Preferred in 1939), it would seem the better rule to use the *market price* of preferred stocks regularly in computing stock-value ratios. On the other hand the regular use of the *face value* of bond issues, rather than the market price, is recommended, because it is much more convenient and does not involve the objections just discussed in relation to preferred shares.

Noncumulative Issues. The theoretical disadvantage of a noncumulative preferred stock as compared with a cumulative issue is very similar to the inferiority of preferred stocks in general as compared with bonds. The drawback of not being able to compel the payment of dividends on preferred stocks generally is almost matched by the handicap in the case of noncumulative issues of not being able to receive in the future the dividends withheld in the past. This latter arrangement is so patently inequitable that new security buyers (who will stand for almost anything) object to noncumulative issues, and for many years new offerings of straight preferred stocks have almost invariably had the cumulative feature.⁶ Noncumulative issues have generally come into existence as the result of reorganization plans in which old security holders have been

⁵ Island Creek Coal Preferred has a stated par of \$1 and Remington Rand, Inc., Second Preferred has a stated par of \$25, but both issues carry a \$6 dividend and they are entitled to \$120 per share and \$100 per share respectively in the event of liquidation. Their true par is evidently \$100. The same is true of American Zinc Lead and Smelting First \$5 Prior Preferred and \$6 (Second) Preferred; par of each is \$25.

⁶ The only important "straight," noncumulative preferred stock sold to stockholders or the public since the war was St. Louis-San Francisco Railway Company Preferred. In the case of Illinois Central Railroad Company Noncumulative Preferred, the conversion privilege was the overshadowing inducement at the time of issue.